

MONEY MARKET, CAPITAL MARKET AND FINANCIAL INSTRUMENTS

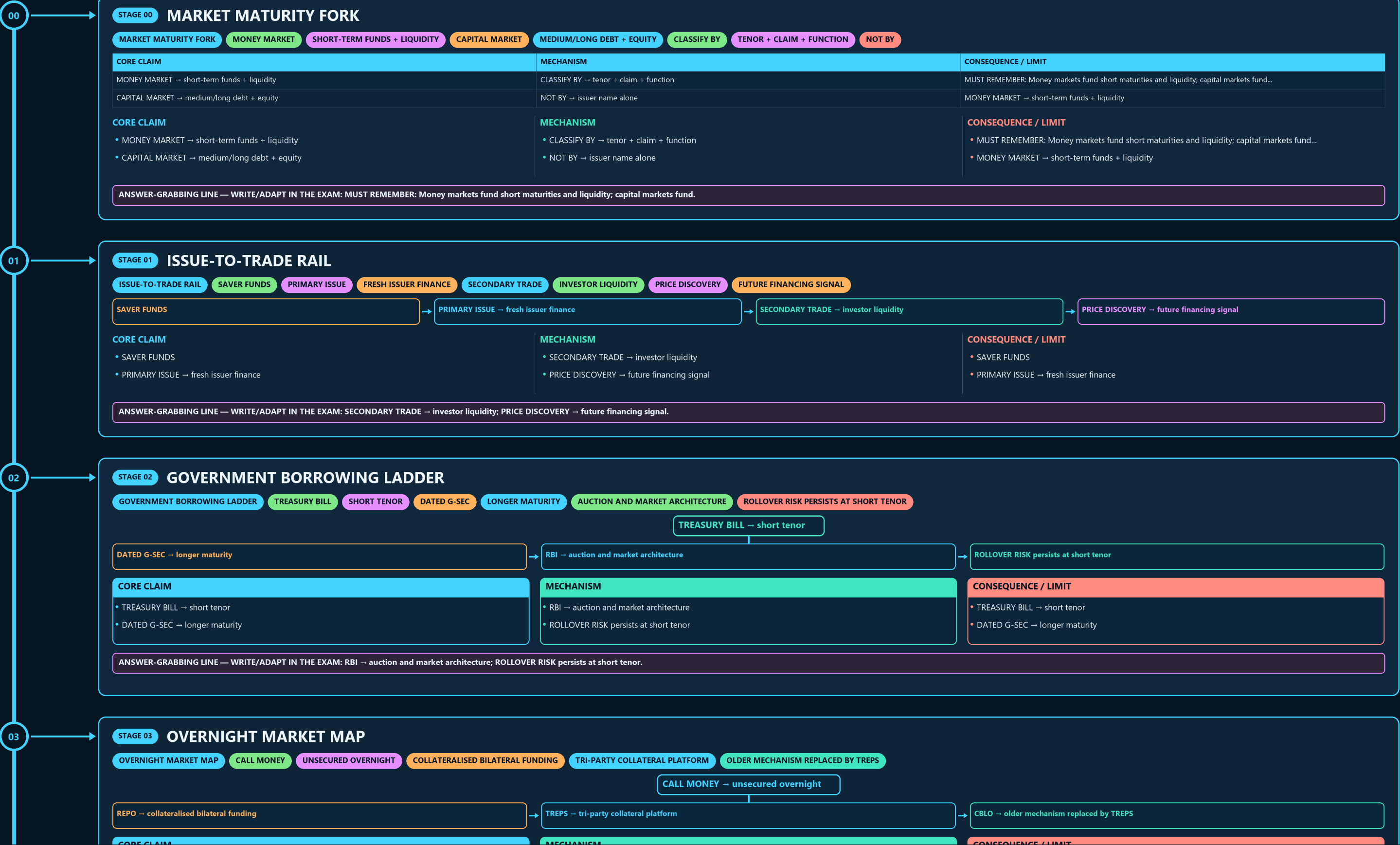
MARKET MATURITY FORK → ISSUE-TO-TRADE RAIL → GOVERNMENT BORROWING LADDER → OVERNIGHT MARKET MAP → CORPORATE AND BANK FUNDING → REGULATORY DIVISION

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



- DATED G-SEC → longer maturity

03

CALL MONEY → unsecured overnight

→ CBLO → older mechanism replaced by TREPS

CONSEQUENCE / LIMIT

- CALL MONEY → unsecured overnight
- REPO → collateralised bilateral funding

04

CORPORATE → Commercial Paper

- **CD → negotiable short-term liability**

CONSEQUENCE / LIMIT

- CORPORATE → Commercial Paper
- BANK / ELIGIBLE INSTITUTION → Certificate of Deposit

05

RBI → money market + G-Secs + payment rails

- **KEEP instrument, venue and regulator distinct**

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Primary is not secondary, money market is not merely cash, yield is...
- RBI → money market + G-Secs + payment rails

06

NDS-OM → electronic G-Sec trading

→ **DIRECT / INDIRECT / BROKER CONNECT** → access modes

CONSEQUENCE / LIMIT

• SEBI → securities issuance + exchanges

• KEEP instrument, venue and regulator distinct

• RBI → money market + G-Secs + payment rails

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Primary is not secondary, money market is not merely cash, yield is.

06

STAGE 06

G-SEC TRADING INFRASTRUCTURE

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ELECTRONIC G-SEC TRADING

CLEARING AND SETTLEMENT

OWNERSHIP RECORDS

BROKER CONNECT

ACCESS MODES

NDS-OM → electronic G-Sec trading

CCIL → clearing and settlement

SGL / DEMAT → ownership records

DIRECT / INDIRECT / BROKER CONNECT → access modes

CORE CLAIM

• NDS-OM → electronic G-Sec trading

• CCIL → clearing and settlement

MECHANISM

• SGL / DEMAT → ownership records

• DIRECT / INDIRECT / BROKER CONNECT → access modes

CONSEQUENCE / LIMIT

• NDS-OM → electronic G-Sec trading

• CCIL → clearing and settlement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIRECT / INDIRECT / BROKER CONNECT → access modes.

07

STAGE 07

LIQUIDITY QUALITY BOARD

LIQUIDITY QUALITY BOARD

ABSORB ORDER SIZE

PARTICIPANT AND INSTRUMENT RANGE

TRANSACTION QUICKLY

RECOVER AFTER SHOCKS

CORE CLAIM

DEPTH → absorb order size

BREADTH → participant and instrument range

MECHANISM

IMMEDIACY → transact quickly

RESILIENCE → recover after shocks

CONSEQUENCE / LIMIT

DEPTH → absorb order size

BREADTH → participant and instrument range

CORE CLAIM

• DEPTH → absorb order size

• BREADTH → participant and instrument range

MECHANISM

• IMMEDIACY → transact quickly

• RESILIENCE → recover after shocks

CONSEQUENCE / LIMIT

• DEPTH → absorb order size

• BREADTH → participant and instrument range

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IMMEDIACY → transact quickly; RESILIENCE → recover after shocks.

08

STAGE 08

RISK AND RETURN DIMENSIONS

RISK AND RETURN DIMENSIONS

MATURITY IS NOT LIQUIDITY

LIQUIDITY IS NOT SAFETY

RATING IS NOT GUARANTEE

YIELD REFLECTS EXPECTATIONS + PREMIA + RISK

CORE CLAIM

• MATURITY is not LIQUIDITY

• LIQUIDITY is not SAFETY

MECHANISM

• RATING is not GUARANTEE

• YIELD reflects expectations + premia + risk

CONSEQUENCE / LIMIT

• MATURITY is not LIQUIDITY

• LIQUIDITY is not SAFETY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RATING is not GUARANTEE; YIELD reflects expectations + premia + risk.

09

STAGE 09

PAYMENT-SYSTEM FORK

PAYMENT-SYSTEM FORK

REAL TIME + GROSS + TRANSACTION-WISE

BATCH SETTLEMENT

OWNER RECORDS CONTINUOUS OPERATION

PAYMENT RAIL IS NOT A CAPITAL-MARKET SECURITY

CORE CLAIM

RTGS → real time + gross + transaction-wise

NEFT → batch settlement

MECHANISM

BOTH → owner records continuous operation

PAYMENT RAIL is not a capital-market security

CONSEQUENCE / LIMIT

RTGS → real time + gross + transaction-wise

NEFT → batch settlement

CORE CLAIM

• RTGS → real time + gross + transaction-wise

• NEFT → batch settlement

MECHANISM

• BOTH → owner records continuous operation

• PAYMENT RAIL is not a capital-market security

CONSEQUENCE / LIMIT

• RTGS → real time + gross + transaction-wise

• NEFT → batch settlement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RTGS → real time + gross + transaction-wise.

MONEY MARKET, CAPITAL MARKET AND FINANCIAL INSTRUMENTS • TILE 3/4 • same master rows 4988-8222 of 10716 • continues below

09

STAGE 09

PAYMENT-SYSTEM FORK

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REAL TIME + GROSS + TRANSACTION-WISE

BATCH SETTLEMENT

OWNER RECORDS CONTINUOUS OPERATION

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CONSEQUENCE / LIMIT

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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RTGS → real time + gross + transaction-wise.

10

STAGE 10

RECEIVABLES AND PHYSICAL ASSETS

RECEIVABLES AND PHYSICAL ASSETS

ACCEPTED MSME RECEIVABLE DISCOUNTING

FINANCIAL INSTRUMENTS

MOTOR VEHICLE

PHYSICAL ASSET

COLLATERAL STATUS DOES NOT CHANGE ASSET CLASS

TReDS → accepted MSME receivable discounting

ETF / SWAP → financial instruments

MOTOR VEHICLE → physical asset

COLLATERAL status does not change asset class

CORE CLAIM

• TReDS → accepted MSME receivable discounting

• ETF / SWAP → financial instruments

MECHANISM

• MOTOR VEHICLE → physical asset

• COLLATERAL status does not change asset class

CONSEQUENCE / LIMIT

• TReDS → accepted MSME receivable discounting

• ETF / SWAP → financial instruments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOTOR VEHICLE → physical asset; COLLATERAL status does not change asset class.

11

STAGE 11

FINANCIAL-MARKET ANSWER SPINE

FINANCIAL-MARKET ANSWER SPINE

CLASSIFY TENOR, ISSUER AND CLAIM

MAP PRIMARY VERSUS SECONDARY FUNCTION

TRACE TRADING, CLEARING AND SETTLEMENT

BALANCE DEPTH WITH DISCLOSURE AND RESILIENCE

EVIDENCE LIMIT

STATE ISSUER, MATURITY, CLAIM, QUOTATION

CLASSIFY tenor, issuer and claim

MAP primary versus secondary function

TRACE trading, clearing and settlement

BALANCE depth with disclosure and resilience

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State issuer, maturity, claim, quotation

CORE CLAIM

• CLASSIFY tenor, issuer and claim

• MAP primary versus secondary function

MECHANISM

• TRACE trading, clearing and settlement

• BALANCE depth with disclosure and resilience

CONSEQUENCE / LIMIT

• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State issuer, maturity, claim, quotation,...

• CLASSIFY tenor, issuer and claim

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State issuer, maturity, claim, quotation,.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

MONEY MARKETS TRANSMIT MONETARY POLICY BY LINKING CENTRAL-BANK OPERATIONS

YIELD CURVES EMBED EXPECTED RATES, TERM PREMIA, LIQUIDITY AND

MARKET LIQUIDITY HAS DEPTH, BREADTH, IMMEDIACY AND RESILIENCE DIMENSIONS.

CLEARING CORPORATIONS REDUCE COUNTERPARTY EXPOSURE THROUGH NOVATION, MARGINS AND

INSTITUTIONAL INVESTORS CAN LENGTHEN THE FUNDING HORIZON BUT MAY

A COMPLETE MARKET ECOSYSTEM REQUIRES ISSUANCE, TRADING, CLEARING, SETTLEMENT

TREDS TURNS ACCEPTED MSME RECEIVABLES INTO A COMPETITIVE DISCOUNTING

OPTIONAL SOURCE DEPTH

• CAUTION: Money markets transmit monetary policy by linking central-bank operations to overnight

• CAUTION: Yield curves embed expected rates, term premia, liquidity and credit conditions.

• CAUTION: Market liquidity has depth, breadth, immediacy and resilience dimensions.

• CAUTION: Clearing corporations reduce counterparty exposure through novation, margins and

ADVANCED DEBATE

• CAUTION: Institutional investors can lengthen the funding horizon but may create correlated

• CAUTION: A complete market ecosystem requires issuance, trading, clearing, settlement, custody,

• CAUTION: TReDS turns accepted MSME receivables into a competitive discounting opportunity; its

• RBI: oversees money markets, government securities and payment or settlement

LEGACY / NUANCE

• SEBI: regulates securities issuance, exchanges, intermediaries and investor

• CCIL: clears and settles important government-securities, money and foreign-exchange

• Exchanges, depositories and clearing corporations: provide trading, dematerialised

• CAUTION: Treasury bills finance short-term government needs; dated government securities carry

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.